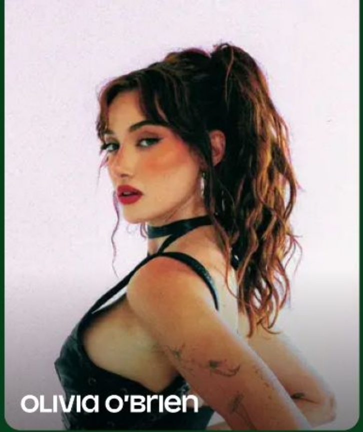
Duetti

2023 music economics report

December 2023



Foreword

Duetti kicked off in July 2022 with a bold mission: to shake up the financial game for independent artists. In a world where A-listers hold the cards in catalog sales, we're leveling the playing field, opening up this financial opportunity to a broader range of artists. A little over a year later, we've teamed up with hundreds of artists, adding millions of dollars to the mix to fuel their creative endeavors.

Part of our mission is to break down the business complexities of the industry and shed light on the financial lives of catalogs. Whether artists partner with us or not, we're all about giving them a clear view of their financial landscape.

This report presents key insights that power our models, focusing on the streaming world, the primary revenue source for recorded music. Down the line, we'll shoot for even more artist transparency by including other income types.

This report is our way of shining a flashlight on the path for independent artists and their teams. In a world where streaming platforms (DSPs) are changing the payout models, this intel is more important than ever. Duetti isn't just an investor; it’s an illuminating guide for intelligent decision-making in the ever-changing financial currents of the music industry. Here's to a new era of financial savvy for independent artists.

Let's talk

We help independent artists beyond doing deals with us. We help them navigate label and distribution possibilities, pinpoint gaps and quirks in their catalog performance, and address questions and concerns about their current distribution setups.

Got a financial puzzle? Reach out to **contact@duetti.co**—we'd love to help.

"I was in a much worse situation after my deal with [Distributor X]. This Duetti deal got me free and back in control of 90% of my music."

– Meltycanon, Duetti partner since April 2023

"Before Duetti, I was in an icky deal and wasn't seeing a cent from all of my biggest music."

– CVBZ, Duetti partner since January 2023

"Duetti offers a lot that other distributors don't in terms of how you want to go about your deal or financing."

– Original God, Duetti partner since June 2023

Data sources and methodology

Duetti has invested heavily in cutting-edge tech and data systems, serving as the foundation for our work. We unite data from various sources, generating tailored pricing options and insights for our artist partners.

This report reflects our efforts, highlighting key trends for artists and their teams managing music income.

Our current focus is on independent US and UK artists, with plans for broader insights soon - and so the data in this report primarily reflects data which is relevant to them.

2023 takeaways for independent artists

1

Earnings per stream continue downward despite price increases

Independent artists earn $2.95 for 1,000 streams and need 5 million streams to earn minimum wage.

2

For US & UK artists, YouTube is more important than ever

Spotify, Apple, YouTube, and Amazon generate 96% of earnings for independent artists.

3

Streaming income varies greatly by genre

Latin artists need nearly 3 times the streams of Country artists for the same $1.

4

5 countries generate 80% of all revenue for US artists

For US-based artists, close to 40% of income comes from foreign markets.

5

The average fee on rev-share indie distributors is 26%

Paying low fixed fees to nearly-free services like DistroKid & TuneCore would drive larger earnings.

earnings per stream continue downward despite DSP price increases

Earnings Per Stream Down Despite Price Increases

In 2023, 1,000 streams generate just $2.95 - a deterioration of 2% vs 2022.

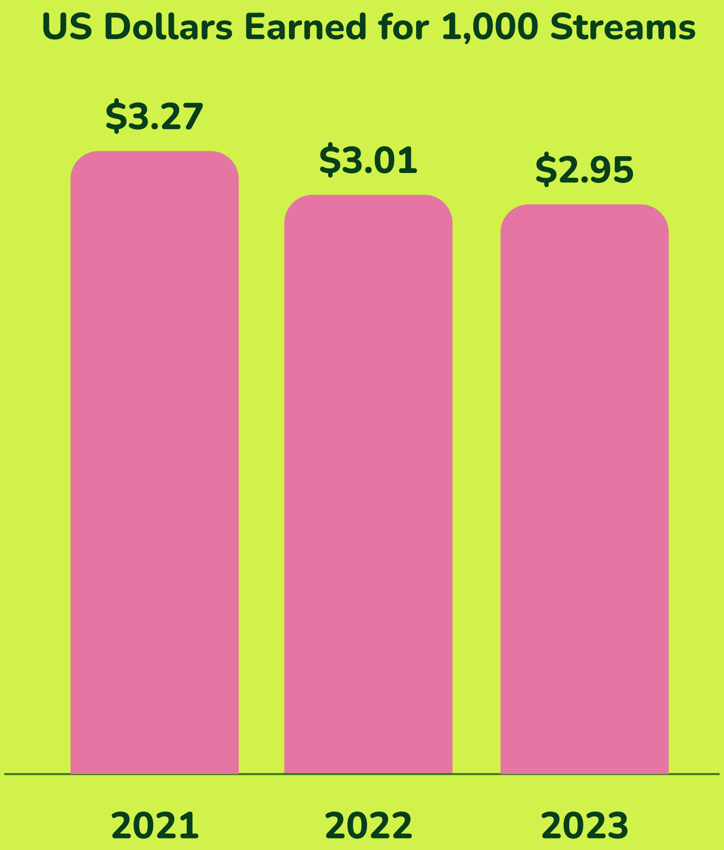
Artists need over 5 mil. streams, before deducting fees, just to make federal minimum wage ($15k/yr).

Despite DSP price increases by Apple, Amazon in 2022 and Spotify and YouTube in 2023, artist payouts remain low:

- Discounted plans (e.g. family) & increases in monthly streams per subscriber reduce amount paid out per stream by streaming services.
- Increased adoption in lower-priced markets - reducing global blended rates paid on streams.

"In order to really make an income...you have to have a ridiculous amount of streams."

– Gatton, Duetti partner since June 2023



Includes Spotify, Apple Music, YouTube & Amazon Music

Spotify is the only top 4 DSP showing strong declines despite recent price increases in the US

US Dollars Earned for 1,000 Streams

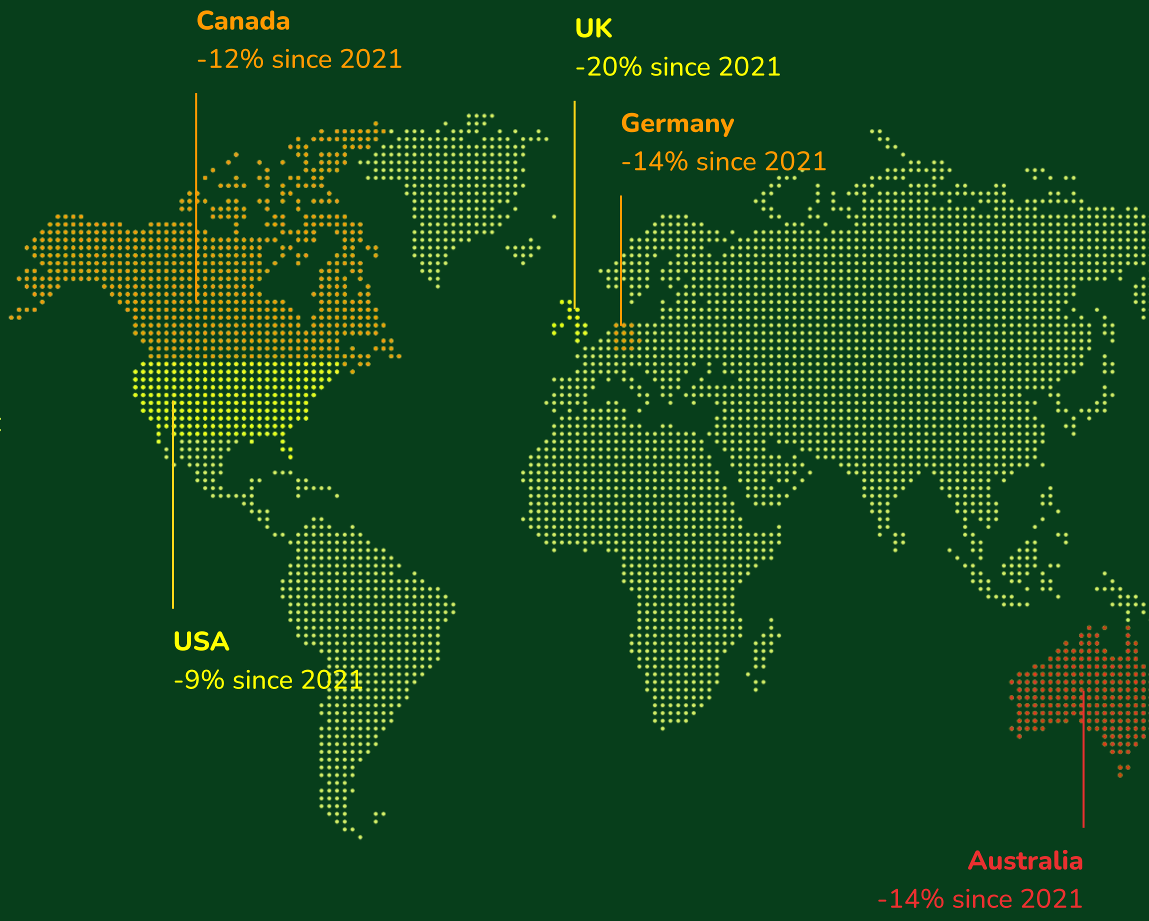
DSP	2021	2022	2023	Rationale
	7.9	8.0	8.1	High per-stream rates likely due to low streams per user (Amazon Music bundled with Prime membership)
	6.0	6.3	6.4	Prices increased in 2022, strength in higher-cost markets (e.g., US, Canada, UK), no ad-supported tiers
	3.0	2.6	2.4	Emerging market growth, reliance on discounted & free plans, and Discovery Mode make Spotify #1 in size and, conversely, drive low per stream payouts
	2.3	2.2	2.3	2023 price increase offset by global expansion

Payout is down globally, but varies across geographies

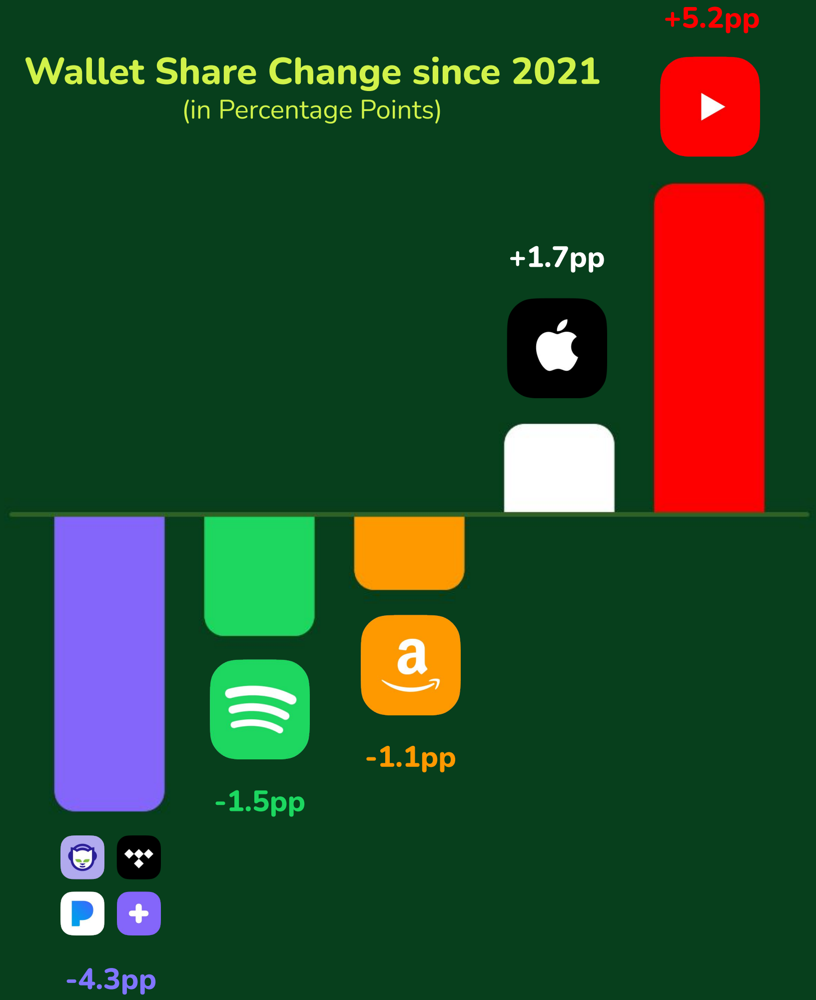
Countries dominated by Spotify show steeper declines, while markets with more Apple Music subscribers, such as the US, show smaller dips.

The US dollar's strength versus 2021 has amplified the pay-declines for some regions in US dollar terms.

Reminder: Analysis done in USD w/ focus on artists in US & UK.



For US & UK artists, YouTube is more important than ever



YouTube has seen the strongest growth in wallet share

Since 2021, YouTube and Apple gained wallet-share at the expense of Spotify and Amazon, even though Amazon also raised prices.

YouTube offers independent artists income through audio and video streaming and by tracking usage on user-generated content.

"This past year, I've been putting way more effort into making sure there's some visual component on my YouTube channel."

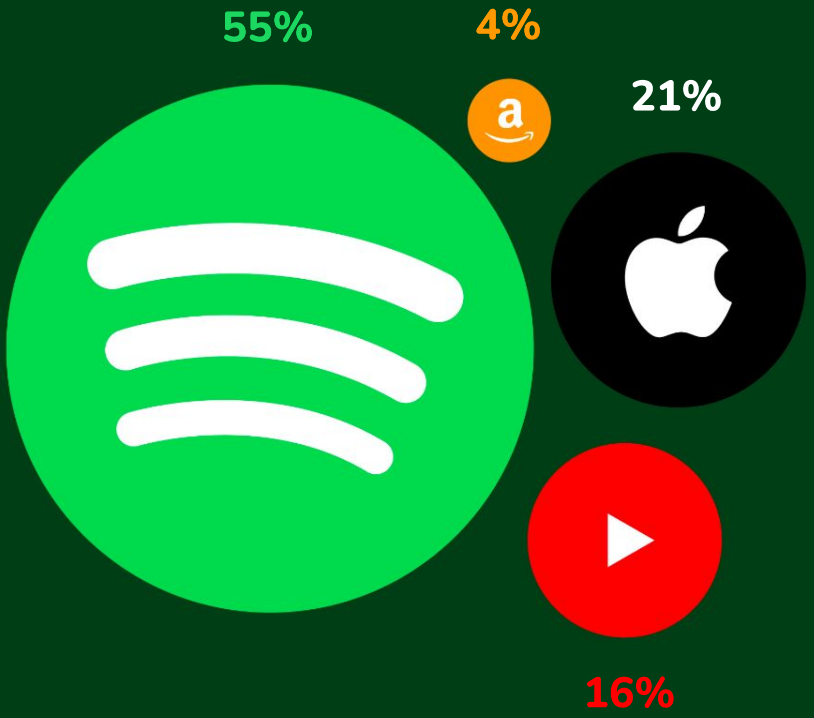
– Ka$tro, Duetti partner since June 2023

artists need to focus on 4 platforms only for their streaming income

For US & UK artists, streaming income is concentrated. Just 4 DSPs account for **96%** of earnings.

Even though Spotify pays less per stream, its streaming volume is so much larger that it is able to occupy a significant wallet share (due to its freemium tier and other drivers).

"Spotify is taking the steps for their creators to have longevity on the platform."
– lil a-lik, Duetti partner since July 2023



2023	Wallet Share	Stream Share	1k Streams will Earn
Spotify	55%	55%	$2.40
Apple	21%	8%	$6.40
YouTube	16%	17%	$2.30
Amazon	4%	1%	$8.10
Pandora	2.0%	2.5%	$1.90
Deezer	0.5%	0.2%	$5.00
Tidal	0.3%	0.1%	$6.00
TikTok	0.2%	5.6%	$0.50*

Apps like TikTok represent a tiny source of income & streams for the average independent artist

Premium DSPs like Apple and Amazon generate substantial wallet-share compared to streams, while freemium DSPs like YouTube and Spotify dominate streaming share.

Social platforms generate miniscule value per stream, and don't represent a high share of income or streams for the average independent artist.

"TikTok is a great platform for artists in terms of promotion and getting exposure, but they have such a low payout rate."

– Yung Bambi, Duetti partner since March 2023

*TikTok payouts are per video creation, not per stream

Streaming income varies greatly by genre

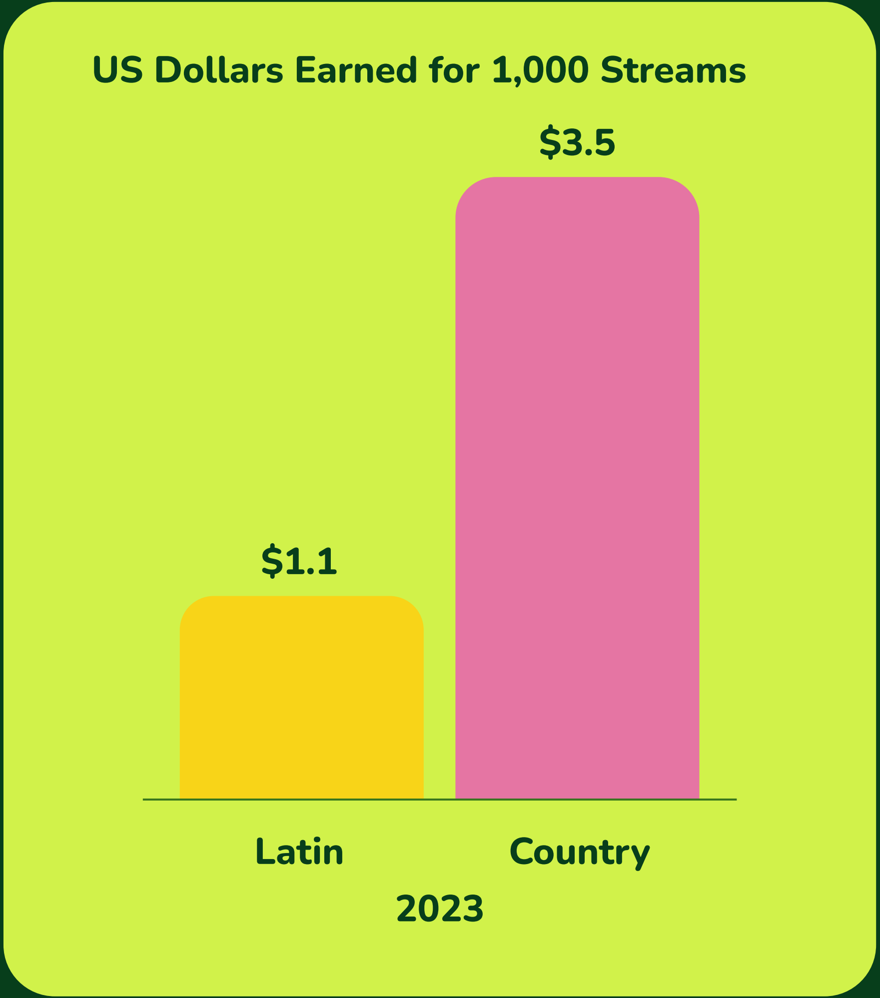
Country artists earn 3 times more than Latin artists per stream

Disparities in streaming rates exist across genres, too. Latin music generates only 30% of the income that Country music does.

This is primarily explained by the respective audiences of each genre:

- Geographical location: streams valued more in the US and Europe due to higher subscription fees in those markets in $ terms, compared to emerging markets

- Country listeners tend to favor ad-free / premium service over ad-supported ones.

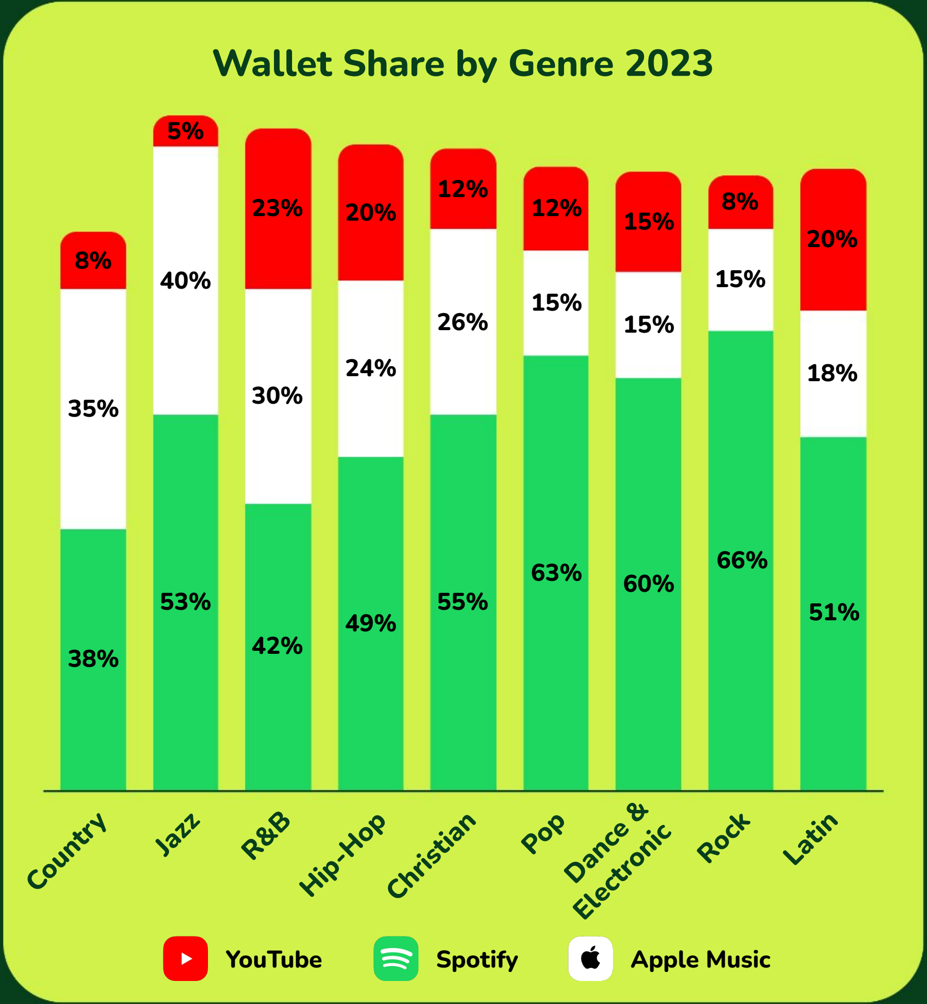


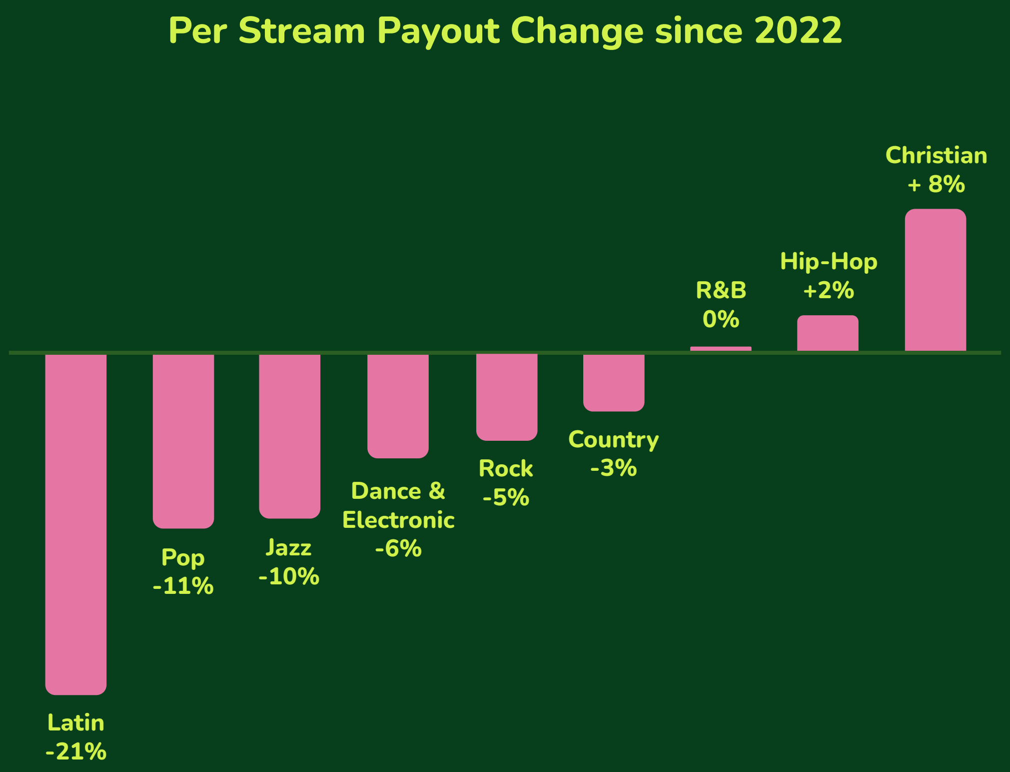
DSPs vary greatly in importance by genre, though Spotify is the largest across all

Spotify's wallet-share varies - from as low as 38% in Country as high as 66% in Rock.

Apple particularly over-indexes in Jazz, Country, R&B, Hip-Hop and Christian.

YouTube over indexes in Latin, Hip-Hop, and R&B.





trajectory of earnings per stream depends heavily on genre

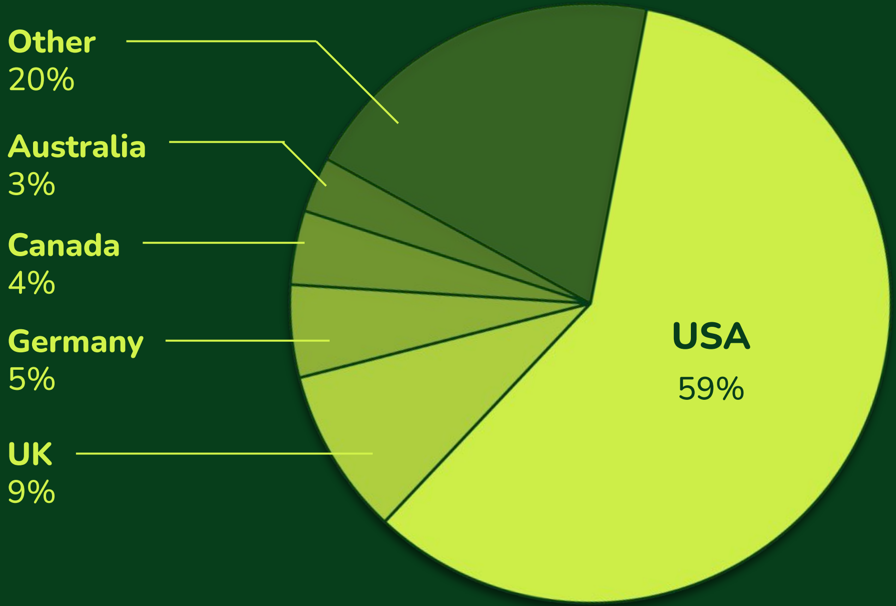
Per-stream payouts declined most in Latin and Pop, and increased in Christian.

The boost in Christian is driven by a relative rise in Apple listeners.

The big decline in Latin is driven by geographic shift towards lower-cost markets that are adopting Spotify and focusing heavily on Latin.

Pop's decline is driven by a surge in international YouTube streams.

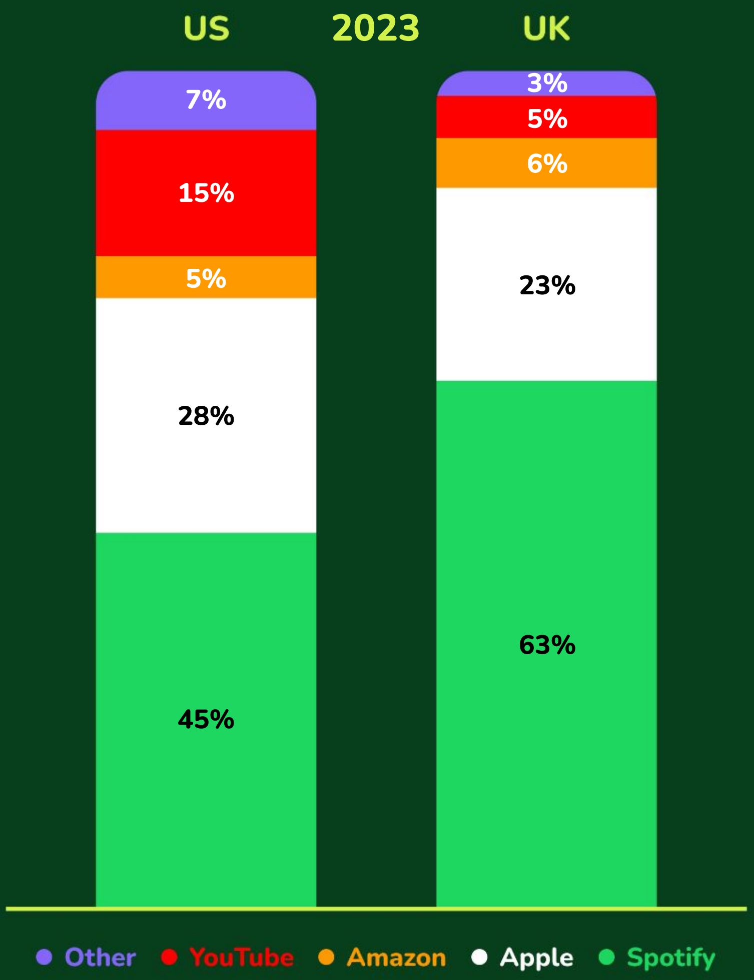
5 countries generate 80% of all revenue for US artists



For US-based artists, the top 5 markets make up 80% of all revenues

The top 5 geographical markets combine to generate ~80% of all income on streaming services for independent artists.

Over 40% of income for US artists is coming from outside their home market.



DSP wallet-share varies per country, too

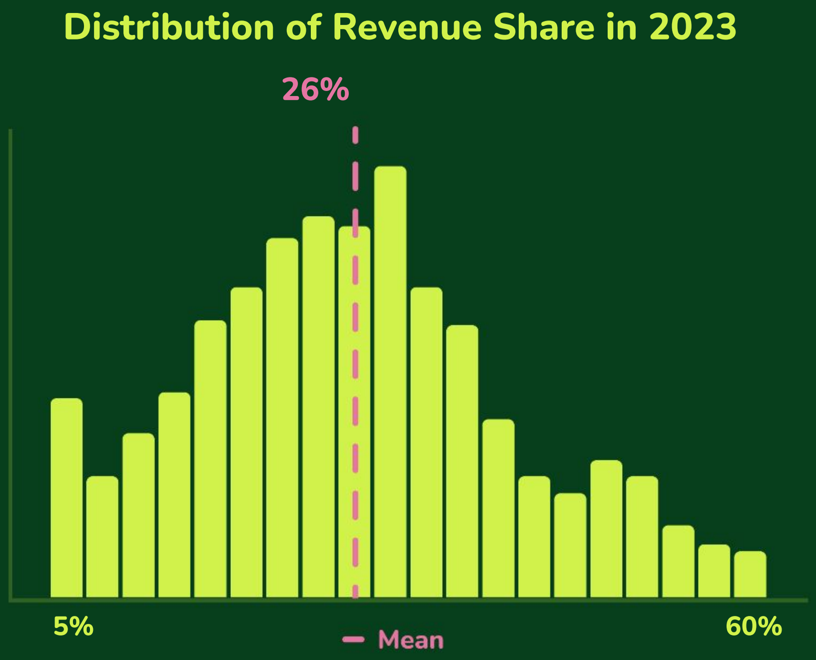
Spotify is consistently the top earner, but its share varies, with Apple particularly strong in the US.

In the UK, artists should focus more on Spotify, where its position is even stronger, likely due to relatively early adoption.

"Apple Music is a huge [platform] to bank on... the revenue is worth more per stream."

– Paulie Leparik, Duetti partner since September 2023

The average fee on rev-share indie distributors is 26%



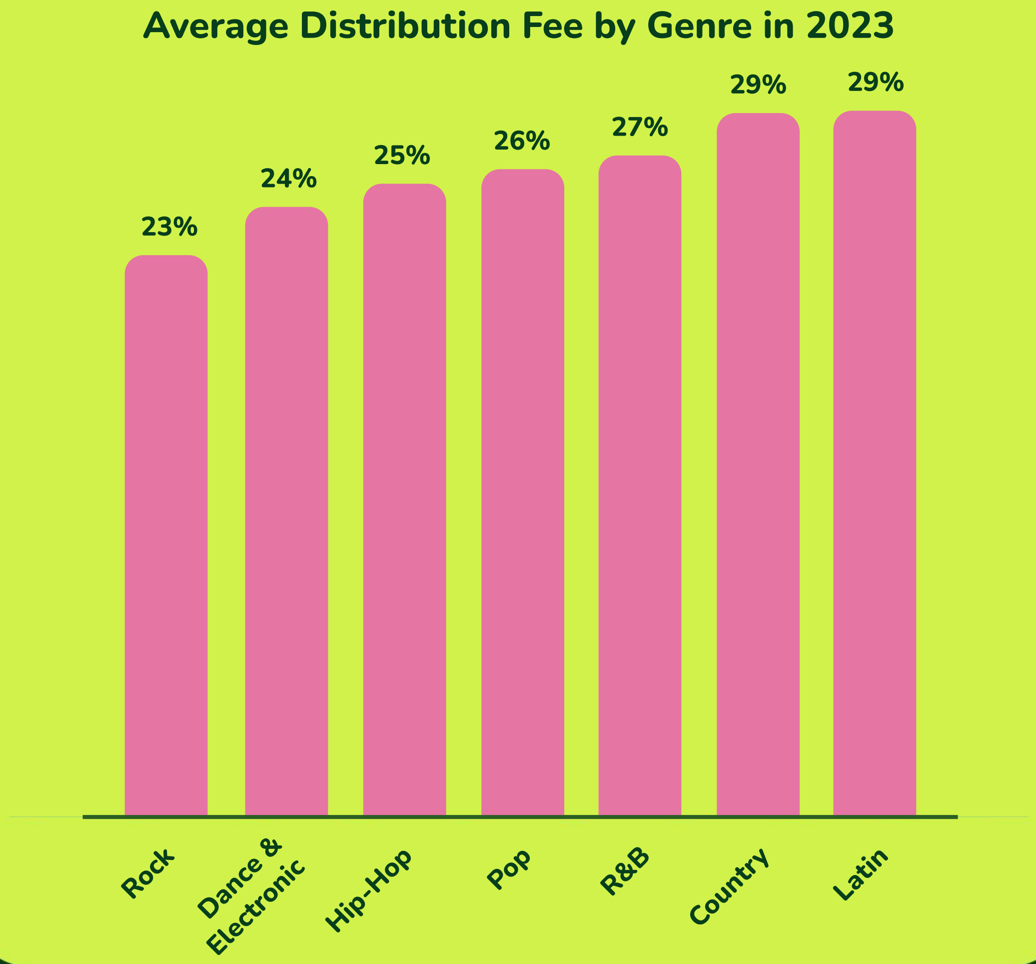
the average indie artist spends 26% of income on distribution fees

Paying low fixed fees to nearly-free services like DistroKid & TuneCore would enable artists with rev-share deals to earn 26% more on average.

Still, for many artists this revenue share is the only way to access value-add services like advances & playlist pitching.

"I always do [distro deals] because I want a little aid on the back-end for playlisting and stuff like that...but then I end up losing a cut of my streams and most of the time they drop the ball."

– King Shelter, Duetti partner since June 2023



Distribution Fees are High, with Low Variation by Genre

This year, Latin and Country artists paid the most in distro fees.

Fees surpass 20% across all genres, indicating industry-wide reliance on advances and other services, which usually require a distribution fee above 15%.

THAT'S A WRAP ON 2023

If you're an independent artist interested in discussing your catalog performance, distribution setups, and your general financial future, we'd love to help!

Find us at **Duetti.co**